

price. Graham said people were paying prices for stocks without any sense of mathematical expectation; stocks were worth any price that the optimistic market quoted. At the height of this insanity, the line between investment and speculation blurred.

As an antidote to such risky behavior, Graham proposed a way of selecting stocks that relied on what he called the “margin of safety.” In this approach, investors who are optimistic about a company’s future growth have two techniques for adding the stock to their portfolios: (1) purchase shares when the overall market is trading at low prices (generally, this occurs during a bear market or a similar type of correction), or (2) purchase the stock when it trades below its intrinsic value even though the overall market is not substantially cheap. In either technique, said Graham, a margin of safety is present in the purchase price.

The first technique—buying only at market lows—has some built-in difficulties. It entices the investor to develop some formula that indicates when the market is expensive and when it is cheap. The investor then becomes a hostage to predicting market turns, a process that is far from certain. Also, when the market is fairly valued, investors are unable to profitably purchase common stocks. However, waiting for a market correction before purchasing stocks may become tiring and, in the end, self-defeating.

Graham suggested that an investor’s energies would be better applied to the second technique: identifying undervalued securities regardless of the overall market price level. For this strategy to work systematically, Graham said, investors need a way to identify stocks that are selling below their calculated value. It was his goal to outline such a strategy, and to do so he developed a quantitative approach that was unknown before *Security Analysis*.

Graham reduced the concept of sound investing to the concept he called the margin of safety. With it, he sought to unite all securities—stocks and bonds—in a singular approach to investing.

Establishing a margin of safety concept for bonds was not too difficult. If, for example, an analyst reviewed the operating history of a company and discovered that, on average, for the past five years, a company was able to earn annually five times its fixed charges, then the company’s bonds